Absorbing Transition DID Results: Clean Historical Any Failure — Downgrade

| | Any Failure | | Restatement | | Violation | |
|---|---|---|---|---|---|---|
| | Pooled | Mandatory / Voluntary | Pooled | Mandatory / Voluntary | Pooled | Mandatory / Voluntary |
| **Panel A: Absorbing DID: Trim** | | | | | | |
| × Mandatory Rotation | | -0.029* | | -0.008 | | -0.021 |
| | | (0.015) | | (0.009) | | (0.013) |
| × Voluntary Rotation | | -0.022*** | | -0.010*** | | -0.020*** |
| | | (0.005) | | (0.003) | | (0.004) |
| Pooled | -0.033*** | | -0.013*** | | -0.027*** | |
| | (0.004) | | (0.003) | | (0.004) | |
| Mandatory − Voluntary | | -0.007 | | 0.002 | | -0.001 |
| Difference p-value | | 0.670 | | 0.871 | | 0.971 |
| Observations | 35,061 | 32,284 | 35,061 | 32,284 | 35,061 | 32,284 |
| Firms | 5,030 | 4,909 | 5,030 | 4,909 | 5,030 | 4,909 |
| **Panel B: Absorbing DID: Strict** | | | | | | |
| × Mandatory Rotation | | -0.043** | | -0.020 | | -0.027* |
| | | (0.019) | | (0.013) | | (0.016) |
| × Voluntary Rotation | | -0.030*** | | -0.014*** | | -0.026*** |
| | | (0.006) | | (0.004) | | (0.006) |
| Pooled | -0.031*** | | -0.014*** | | -0.027*** | |
| | (0.006) | | (0.004) | | (0.005) | |
| Mandatory − Voluntary | | -0.013 | | -0.006 | | -0.001 |
| Difference p-value | | 0.498 | | 0.648 | | 0.946 |
| Observations | 19,698 | 18,682 | 19,698 | 18,682 | 19,698 | 18,682 |
| Firms | 2,769 | 2,736 | 2,769 | 2,736 | 2,769 | 2,736 |
| **Panel C: Fixed-Window DID: 2-Year Window** | | | | | | |
| × Mandatory Rotation | | -0.024* | | -0.016 | | -0.014 |
| | | (0.014) | | (0.011) | | (0.011) |
| × Voluntary Rotation | | -0.019*** | | -0.008** | | -0.019*** |
| | | (0.005) | | (0.003) | | (0.004) |
| Pooled | -0.029*** | | -0.011*** | | -0.025*** | |
| | (0.004) | | (0.003) | | (0.003) | |
| Mandatory − Voluntary | | -0.005 | | -0.009 | | 0.005 |
| Difference p-value | | 0.718 | | 0.460 | | 0.693 |
| Observations | 33,813 | 30,991 | 33,813 | 30,991 | 33,813 | 30,991 |
| Firms | 5,244 | 5,116 | 5,244 | 5,116 | 5,244 | 5,116 |
| **Panel D: Fixed-Window DID: 3-Year Window** | | | | | | |
| × Mandatory Rotation | | -0.023* | | -0.013 | | -0.014 |
| | | (0.013) | | (0.010) | | (0.011) |
| × Voluntary Rotation | | -0.017*** | | -0.006* | | -0.017*** |
| | | (0.005) | | (0.003) | | (0.004) |
| Pooled | -0.028*** | | -0.010*** | | -0.023*** | |
| | (0.004) | | (0.002) | | (0.003) | |
| Mandatory − Voluntary | | -0.005 | | -0.006 | | 0.003 |
| Difference p-value | | 0.704 | | 0.548 | | 0.775 |
| Observations | 35,473 | 32,636 | 35,473 | 32,636 | 35,473 | 32,636 |
| Firms | 5,244 | 5,137 | 5,244 | 5,137 | 5,244 | 5,137 |
| Controls | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm FE | Yes | Yes | Yes | Yes | Yes | Yes |
| Year FE | Yes | Yes | Yes | Yes | Yes | Yes |
| Audit Firm FE | No | No | No | No | No | No |
| Sample years | Full | 2004 onward | Full | 2004 onward | Full | 2004 onward |

*Notes:* Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.